

## ASCII MASTER FLOW – PANEL 1/9: From fragmented indirect taxes to the 101st Amendment compact

### PRE-GST PROBLEM

manufacture tax + service tax + State VAT/CST + entry levies

-> broken cross-credit + cascading + border friction.

### 101ST AMENDMENT ACT, 2016

Article 246A -> special shared GST competence.

Article 269A -> inter-State levy, collection and apportionment.

Article 279A -> Union-State GST Council.

Article 366(12A) -> GST definition.

### CONSTITUTIONAL SURGERY

omitted Article 268A + changed distribution provisions and Seventh Schedule entries.

### CORE IDEA

pooled fiscal sovereignty for a destination-based common market.

### LIMIT

"One Nation, One Tax" is shorthand; India operates dual GST with exclusions and variations.

## ASCII MASTER FLOW – PANEL 2/9: Articles 246A, 269A and 286: CGST, SGST and IGST legal architecture

### INTRA-STATE SUPPLY

Central law -> CGST | State/UT law -> SGST/UTGST.

### INTER-STATE SUPPLY: ARTICLE 246A(2)

Parliament has exclusive GST legislative power.

### ARTICLE 269A

Government of India levies and collects IGST

-> parliamentary law on place of supply and apportionment

-> settlement between Union and destination State.

### IMPORT

deemed inter-State supply for GST architecture.

### ARTICLE 286

limits State taxation of supplies outside the State or in import/export course.

### TRAP

IGST is not a third destination government's tax; it is the settlement bridge for an integrated dual-GST system.

## ASCII MASTER FLOW – PANEL 3/9: Article 279A composition, quorum, weighted vote and recommendation fields

### COMPOSITION

Union Finance Minister -> Chairperson.  
Union Minister of State for Revenue/Finance.  
State finance/taxation ministers or nominated ministers.  
State members choose a Vice-Chairperson.

### QUORUM

one-half of total members.

### WEIGHTED VOTE

Union = one-third | States together = two-thirds.  
Decision = at least three-fourths of weighted votes of members present and voting.

### COALITION MATHEMATICS

Union alone cannot pass | States alone cannot pass.

### RECOMMENDATION FIELDS

taxes to subsume | goods/services | model laws | place of supply  
| thresholds | rates/bands | special rates | petroleum start date | special provisions.

### LIMIT

Council recommends; competent legislatures and delegated instruments create law.

## ASCII MASTER FLOW – PANEL 4/9: Secretariat, procedure, recommendation-to-law chain and disputes

### INSTITUTIONAL SUPPORT

GST Council Secretariat -> agenda, records, coordination and implementation follow-up.

### PROCEDURE

proposal -> committee/officer analysis -> agenda note -> meeting

-> consensus or weighted vote -> minutes/recommendation -> legal instrument.

### LEGAL-EFFECT CHAIN

constitutional recommendation

-> Parliament/State legislature enacts or amends statute

or authorised executive issues rule/notification

-> taxpayer obligation.

### ARTICLE 279A(11)

Council shall establish a mechanism to adjudicate specified Union-State disputes.

### CURRENT LIMIT

no complete publicly verified constitutional mechanism is asserted as operational.

GSTAT and taxpayer appeals are not silently relabelled Article 279A(11) adjudication.

## ASCII MASTER FLOW – PANEL 5/9: Tax-base boundaries: alcohol, petroleum, electricity, rates and input credit

### ALCOHOLIC LIQUOR FOR HUMAN CONSUMPTION

excluded from Article 366(12A) GST definition.

### FIVE PETROLEUM PRODUCTS

GST levy begins from a date recommended under Article 279A(5);  
until then, retained excise/VAT fields continue.

### TOBACCO

within GST while retained Union excise competence also exists.

### ELECTRICITY

not excluded by the GST definition like alcohol;  
electricity duty remains under Entry 53 and supply treatment needs exact law.

### RATE / EXEMPTION / THRESHOLD

Council recommendation -> competent notification or legislation.

### INPUT-TAX CREDIT

reduces cascading where statutory eligibility and compliance conditions are met.

### TRAP

do not convert a press release into a self-executing tax rate.

## ASCII MASTER FLOW – PANEL 6/9: GST compensation bargain and dated post-transition boundary

### COMPENSATION ACT, 2017

base year 2015-16 -> projected annual revenue growth 14%  
-> protected revenue minus actual revenue -> compensation gap.

### FUNDING

compensation cess on specified supplies -> Compensation Fund.

### TRANSITION

five years from GST introduction -> entitlement ended in June 2022.

### PANDEMIC SHOCK

revenue/cess shortfall -> back-to-back borrowing arrangement  
-> cess continued for servicing principal and interest.

### CURRENT CONTROL: 24 AUGUST 2026

later cess collection for loan servicing != renewed five-year compensation entitlement.

### REFORM LESSON

future shocks need transparent accounts, predictable settlement and negotiated burden sharing.

## ASCII MASTER FLOW – PANEL 7/9: Mohit Minerals (2022): persuasion, legislation and delegated action

Mohit Minerals (2022)

### CONSTITUTIONAL HOLDING

Article 279A recommendations are persuasive and carry cooperative value;  
they are not binding commands on Parliament or State legislatures.

### WHY

Article 246A gives simultaneous legislative power  
and Indian federalism works through dialogue, not Council hierarchy.

### STATUTORY QUALIFICATION

where GST legislation conditions delegated rules or notifications  
on Council recommendation, the executive must obey that statute.

### CASE RESULT

ocean-freight levy failed within the statutory composite-supply framework.

### TRAP

non-binding recommendation != irrelevant Council  
and it does not authorise executive action contrary to enacted GST law.

## ASCII MASTER FLOW – PANEL 8/9: Federal bargaining, Finance Commission comparison and technology-compliance loop

### EST. COUNCIL

continuous bargaining over a pooled indirect-tax base.

### FINANCE COMMISSION

periodic Article 280 recommendation on divisible taxes and grants.

### FEDERAL GAINS

common market + destination settlement + shared rule forum + coordinated compliance.

### FEDERAL COSTS

reduced unilateral State rate space + Union veto capacity  
| compensation trust deficit | unequal administrative capacity.

### TECHNOLOGY CHAIN

registration -> invoice/reporting -> credit matching -> return/payment  
-> analytics -> audit/appeal.

### CAUTION

digital trace improves verification but can create exclusion, mismatch and refund burdens.

### REFORM

publish revenue models + reasoned minutes + stable rate design  
-> operational dispute mechanism + stronger State capacity.



## ASCII MASTER FLOW – PANEL 9/9: Current anchors, PYQ routes, traps and qualified synthesis

### DATED ANCHORS

56th Council meeting release: 3 September 2025.

April 2026 Secretariat newsletter: notification-on-recommendation example.

No commodity-wise current rate list is frozen.

### PRELIMS FIREWALL

quorum one-half | Union one-third | States two-thirds

| decision threshold three-fourths weighted

| alcohol excluded | petroleum deferred | electricity separately treated

| recommendation != legislation | compensation entitlement ended June 2022.

### PYQ ROUTES

2018 exemption mechanics | 2019 subsumed taxes | 2020 compensation

| 2023 101st Amendment/federalism | 2025 fiscal-federalism adjacency.

### MAINS SPINE

pre-GST defect -> three-Article architecture -> Council bargain

-> legal-effect limit -> federal gain/cost -> dated anchor

-> transparent, predictable and cooperative reform verdict.